Outlook

From	naledi.mokoena@treasury.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	cfo.office@keystonebank.co.za, payments.ops@keystonebank.co.za
Sent	Tue, 19 Mar 2024 16:14:00 -0000

The currency exposure needs a customer-behaviour view - 2024 control review

Morning,

I need help with something that sounds simple but probably is not.

Treasury sees non-rand activity but needs to separate stable customer behaviour from isolated transactions and data artefacts. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

The questions I would ask in the room are:
1. What would we expect to see if a small group of customers drives most foreign-currency activity?
2. What evidence would instead support that cross-border-enabled accounts are not the same as active cross-border users?
3. How do we rule out that loan participations explain part of the flow?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether to improve forecasting assumptions or investigate specific flow concentrations. A useful output would be a short decision pack with no more than five slides and an attached evidence table.

Use monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; loan participation and servicing records available by the request date. One caution: This data does not contain market positions, hedges or intraday liquidity; report customer-flow concentration only.

Regards